



Economics

Introduction to Economics

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GCE ADVANCED LEVEL ENGLISH MEDIUM

An Introduction To ECONOMICS

Every subject in the world can be divided into two main parts

Natural Sciences

Natural Sciences is the subject that studies the phenomenon of the natural environment and the study carried out through the conclusions derived by the tests done at laboratories.



Ex-:

Biology	Space Science
Chemistry	Medical Science
Physics	Geology

Social Sciences

The subject that studies the behavior of people of a society from various aspects is called social sciences.

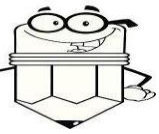
Example-

Social Sciences

Political Science	→	Political behavior of people
Psychology	→	Mental behavior of people
Criminology	→	Criminal behavior of people
Sociology	→	Social behavior of people
Geography	→	Geographical behavior of people
History	→	Historical behavior of people
Economics	→	Economic behavior of people

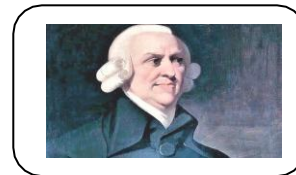
The subject facts learned above can be summarized as follows

What is Economics



- ✓ Economics is a social science.
- ✓ Economics studies the economic behavior of the people of the society;
- ✓ Economics can be known as the Queen of social sciences.

- Adam Smith is known as the father of economics.
- He is also known as a Scottish economist, philosopher and author.



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Adam Smith

- His 1776 book, THE WEALTH OF NATIONS, was the first scientific study of economics.

Microeconomics and Macroeconomics

Microeconomics

The study of economics as units can be simply called Microeconomics.

Microeconomics can be defined as a study of small units of an economy such as households, institutions, persons, that consists each sector of an economy and economic variables separately.

Following this analysis the economic behavior of units which make decisions of an economy such as consumers, labourers, production firms and government is done by micro economics

Macroeconomics

The study of economics as whole can be simply called Macroeconomics.

The study of the separate economic units as a whole is called macroeconomics.

EX-

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Positive Statesments & Normative Statesments

Positive Statesments

►► **Statements which answer the questions of what, what happened, what will happen and the statements that can be verified are called positive statements.**

►► Correctness of such a statement can be tested with the use of real world facts.

►► It can be seen a scientific and a theoretical nature in most of positive statements.

►► Most economic theories also explain positive statements.

►► Positive statements are mostly objective.

Ex - Positive relationship exists between money supply and the price level.

Normative Statesments

►► **Normative statements are the statements presented in relation to what should exist and what should happen in a society.**

►► As normative statements are based on personal views, beliefs and traditions they are mostly subjective.

►► It is difficult to test correctness of normative statements objectively using real world data.

►► Normative statements are important in economic policy analysis.

Ex- -Sri Lanka should obtain foreign aids for development

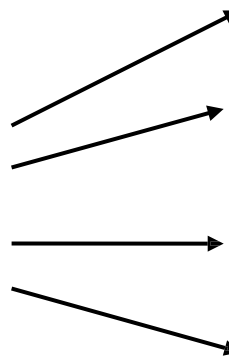
-People should control their expenditures in purchasing

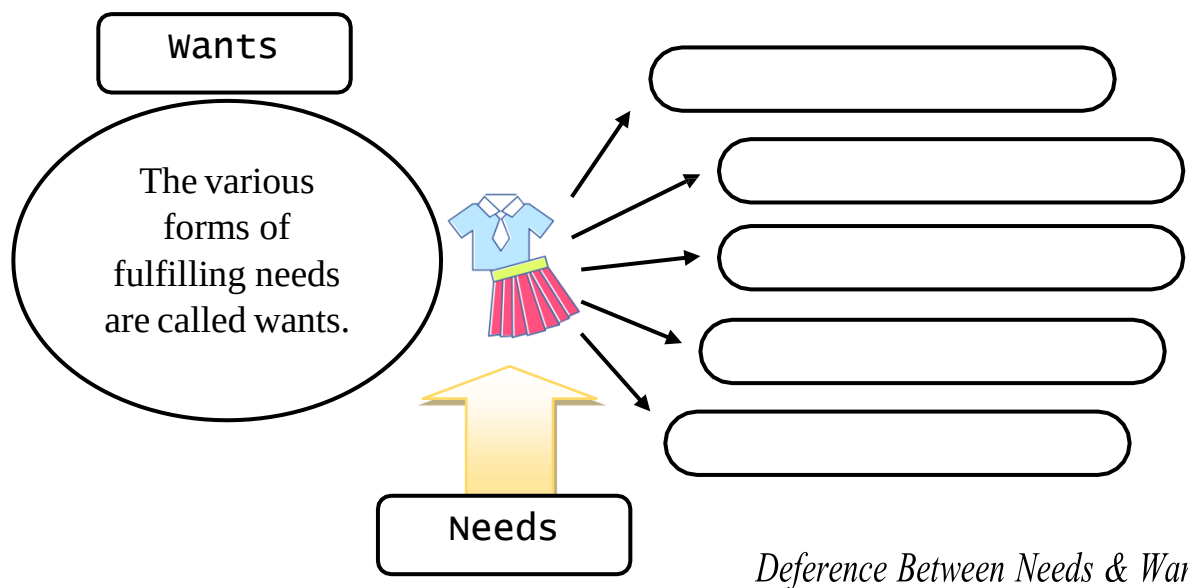
Needs & Wants



Needs

Basic necessities needed to sustain human life are called needs.





Needs	Wants
Basic necessities needed to sustain human life are called needs.	The various forms of fulfilling needs are called wants.
▶▶ Needs are combined with biological sources.	■ Wants are combined with traditions, values and culture.
▶▶ Needs are limited	■ Wants are unlimited.
▶▶ Needs do not change with time	■ wants change with time
▶▶ Needs are common to all	■ wants differ from person to person
▶▶ Need- Food	■ wants - Rice, Bread, String hoppers, Hoppers

Goods And Services

☐ _ Goods

Things that have a positive utility and tangible are called goods.

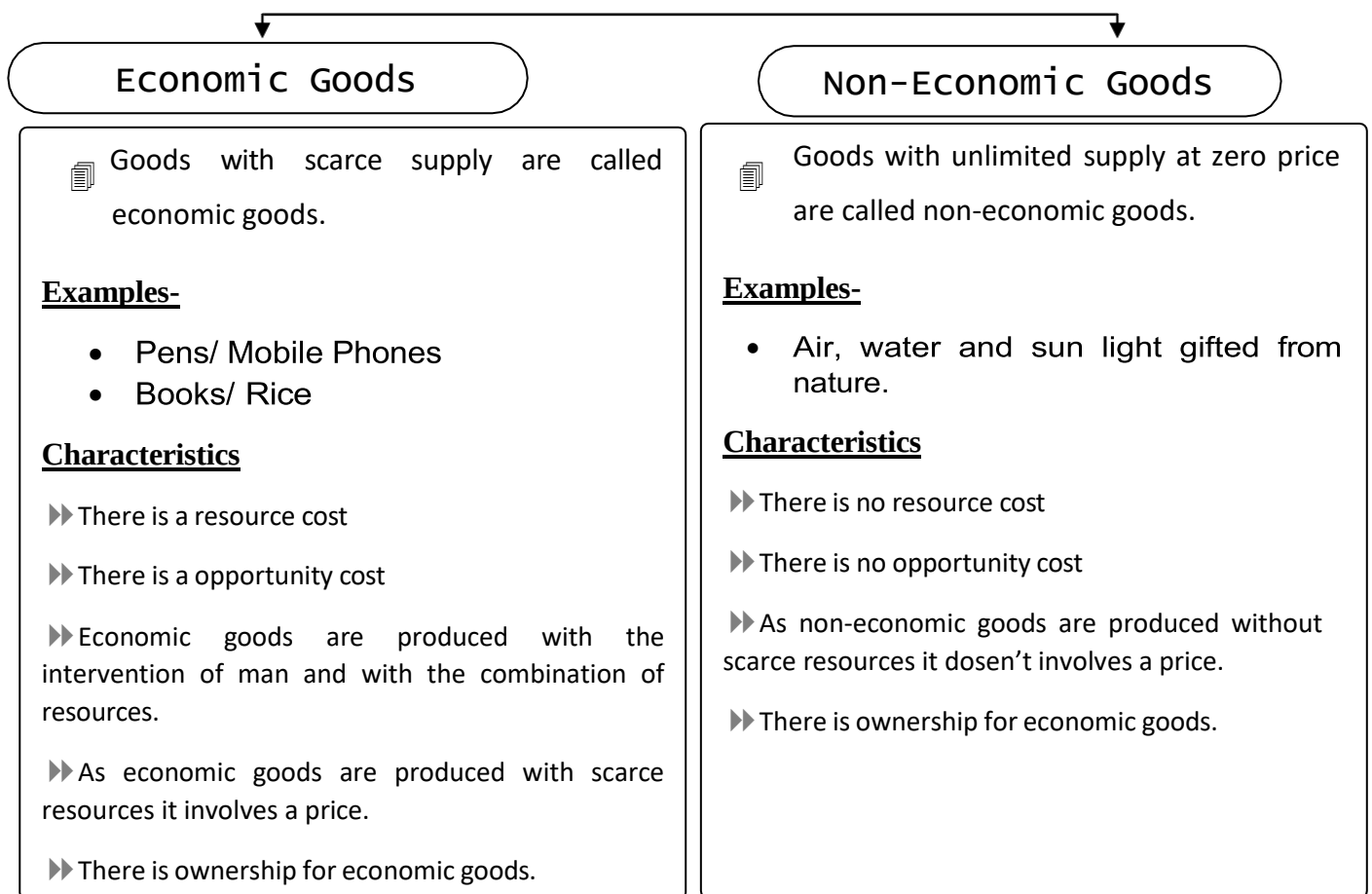
☐ _ Services

Things that have positive utility and intangible are called services.

☐ _ Bads

Things that have to bear a cost of disposing and have negative utility are called bad goods.

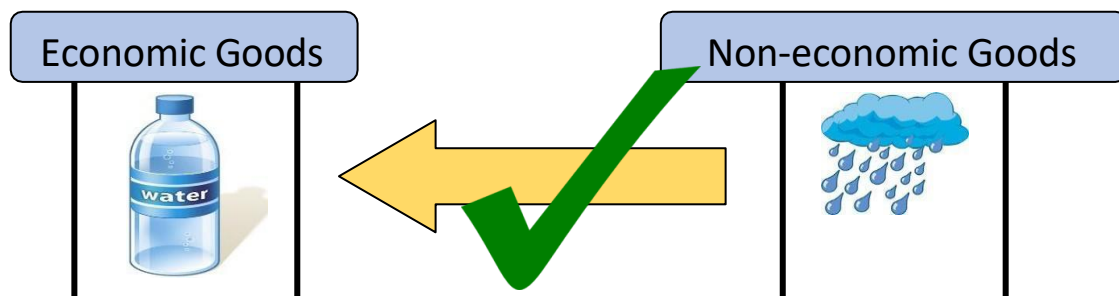
Goods and Services can be divided into two main categories in economics



- Can non-economic good convert to an economic good? Explain

Although there is no room to convert economic goods to non-economic goods.

But there are situations where non-economic goods can become economic goods.

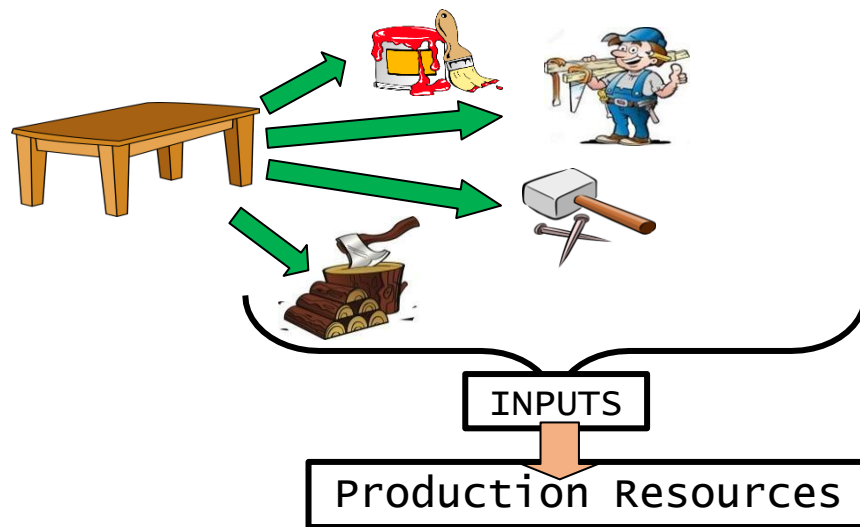


Example:-

- Oxygen used by a diver when diving
- Oxygen given to patients
- Solar panels produced with solar power
- Bottled water

Production Resources

All inputs used to produce goods and services to fulfill human wants are called resources.



Resources can be divided into two main categories in economics

Economic resources

Resources with a limited supply against unlimited wants of a society or resources which are scarce in nature are called economic resources.

As scarcity is considered the main characteristic of economic resources when consuming opportunity costs arise with these resources

Examples-

A used land, fuel

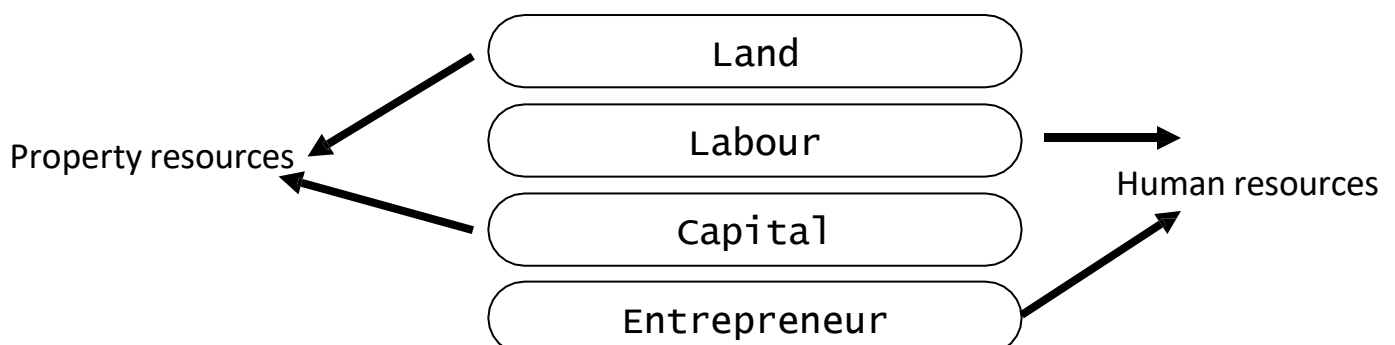
Non-Economic resources

resources gifted by nature and which do not involve an opportunity cost are called non economic resources.

Examples-

- sun light, air, rain water

Production Resources can be divided into four main categories in economics



Land

Natural resources gifted from nature which can be used productively in production are called land.

Ex- forests, minerals, ocean, rivers, wild animals and air

characteristics

1. Being a gift of nature
2. Supply being inelastic
3. Immobility
4. Possibility to improve productivity
5. Non uniformity (Location, climate, minerals, aquatic resources)

■ There are two forms of natural resources

① Renewable resources



The resources which do not used up with consumption are called renewable resources. These resources are generated again.

Example:- forestry, fisheries

② Nonrenewable resources

The resources which are used up with consumption and the resources which do not generated again are called nonrenewable resources.



Example:- Diamonds, gas, gold, coal

Payment for land being **rent**.

Labour

Mental and physical efforts used to produce goods and services are called labour.

Ex- Doctor- Mental effort/ worker- physical effort

characteristics

1. Being a live factor
2. Mobility
3. Heterogeneity
4. Possibility of decision making and organization



» » Labour force

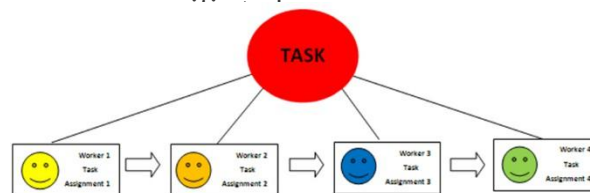
The labour force, or currently active population, comprises all persons who fulfil the requirements for inclusion among the employed or the unemployed.

Factor affecting the size of the labour force.

1. Size of population and age structure
2. Health of population
3. Level of education and skills of the population

» » Division of labour

Division of labour is an economic concept which states that dividing the production process into different stages enables workers to focus



» » specialization

Specialization is the existing skill and ability to complete a task effectively and efficiently in an individual quickly through the division of labour.

Payment for labour being **wages**

Capital

Man made aids used in the process of the production of goods and services are called capital.

characteristics

1. Being a man made factor
2. Being a real factor
3. Being a stock factor
4. Consists of productivity
5. Possibility to use in production again and again
6. Possibility to depreciate



▣ Various forms of capital

»» Fixed capital

Durable capital used in the production process continuously such as factories, machinery and stores are called fixed capital.

Throughout the period where fixed capital is used the resource owner will receive a flow of benefits

»» Circulating capital

Stock of raw materials used in the production process, stock of semifinished goods stock of goods being produced, stocks ready for sale and finished goods are identified as circulating capital.

»» Economic overhead capital

Capital goods which facilitate production of goods and services and the distribution process of an economy are called economic overhead capital. Also called as economic infrastructure.

Examples: Ports, air ports, high ways

»» Economic overhead capital

Capital goods which help produce services to fulfill basic human needs are called social overhead capital.

▣ Buildings in the education sector, hospitals in the health sector, operation theatres, medical research centers and equipment and also drainage lines come under social overhead capital.

▣ These improve social welfare.

»» Human capital

Skills of labour consists of education, training, research, experiences and favourable health which help to improve the productivity of labourers and professionals are called human capital.

Through human capital, productivity of labour can be improved and both quality and quantity of production can be increased.

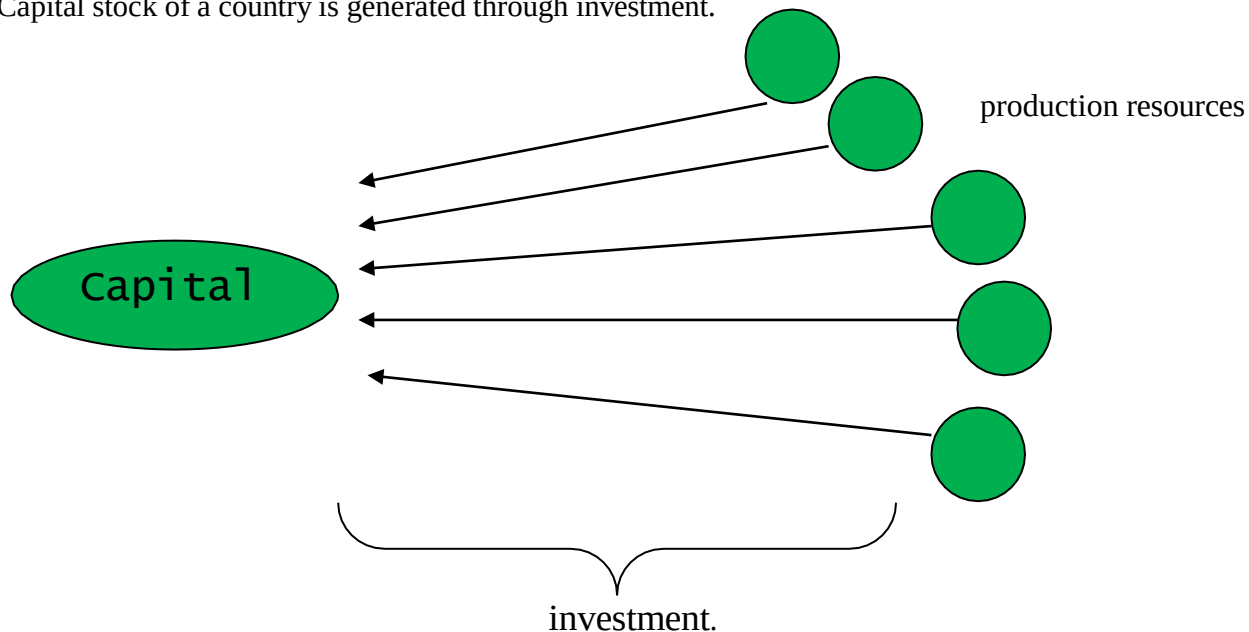
Ex- University lecturers, trained teachers and consultants

» » Social capital

Institutions which improve social interrelations quantitatively and qualitatively, traditions, membership of clubs and social networks are called social capital.

Investment

- Capital stock of a country is generated through investment.



Directing production resources to produce capital goods is called investments.

Benefit of capital being **interest**

Entrepreneurship

Combining all factors of production within an economy, organizing of production activities, operation and policy making while bearing risks is called entrepreneurship.

■ Functions performed by an entrepreneur

1. Mobilizing factors of production engaged in policy decision making.
2. Organization of production activities
3. Introduction of innovations
4. Risk bearing

■ Characteristics of an entrepreneur

1. Being a human factor
2. Being a generating force
3. Successfully facing challenges
4. Leadership quality
5. Future vision
6. Belief in self
7. Room for training
8. Creativity
9. Identifying of opportunities
10. Positive thinking

Income of the entrepreneur being **Profit**

□ Productivity □

Productivity is commonly defined as a ratio between the output volume and the volume of inputs. In other words Average output obtained by a unit of an input is called productivity.

$$\text{Factor Productivity} = \frac{\text{Total Out put}}{\text{Total Input}}$$

■ Determinants of factor productivity

- Technology
- Human capital
- Management
- Division of labour and specialization

Scarcity



Scarcity is a basic problem of the economy which arises because of availability of limited resources but presence of unlimited wants of human beings.

- ☐ scarcity is the central problem common to every economy.
- ☐ It is a relative concept
- ☐ This doesn't mean the total absence of the resources.

■ The problem of scarcity arises with the existence of two main characteristics.

1. At a given period of time human wants being unlimited.
2. At a given period of time resources used to produce goods and services to fulfil human wants being limited.

01 - Explain the deference between scarcity and poverty.

-Scarcity is a basic problem of the economy which arises because of availability of limited resources but presence of unlimited wants of human beings.

Scarcity arises because of lack of resources relative to human wants. Scarcity cannot be reduced through government policies.

-Poverty is the inability of an individual or a family to command sufficient resources to satisfy basic needs.

Poverty arises because of the total absence of resources to fulfill basic needs. poverty can be reduced or eliminated through government policies. (samurdi, Gama naguma, Gami diriya)

02 - Explain the difference between scarcity and Shortage of goods.

-Scarcity is a basic problem of the economy which arises because of availability of limited resources but presence of unlimited wants of human beings.

-The shortage of goods arises with the delay of stocks in an economy.

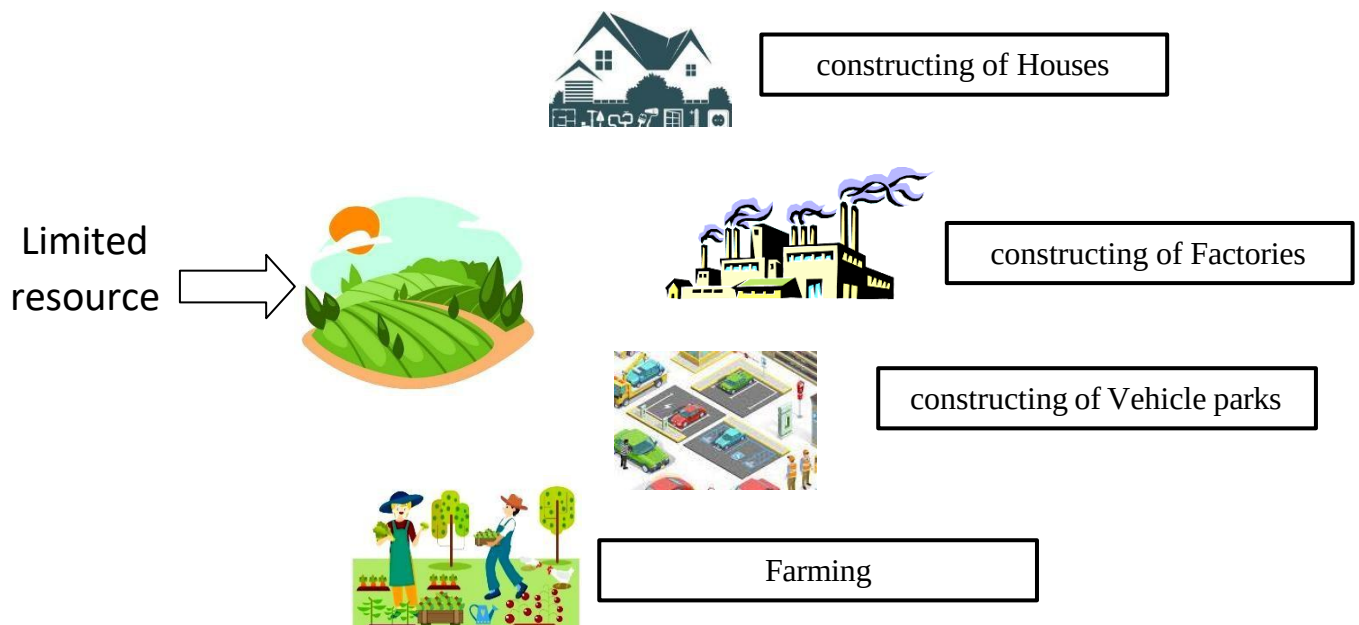
In shortage of goods the demand is greater than the market supply. This shortage disappears with the arrival of stocks.

❑ Scarcity is considered as the central problem of economics due to the following reasons,

1. It is common to every society.
2. As any society would commonly face the problems of what to produce in what quantity, how to produce and whom to produce.

❑ Choice ❑

Since scarce resources have alternative uses, instead of selecting many, people have to choose one alternative.



Example- when considering land it has alternative uses such as constructing of factories, farming and making of play grounds, therefore a decision has to be made in selecting one alternative.

The problem of choice arises in an economic system due to

1. Scarcity of resources
2. Based on alternative uses of resources

Due to the scarcity of resources and with its alternative uses any society should make three choices. These three choices are common to any society.

1. What to produce in what quantity?

Due to the scarcity of resources and alternative uses any society would face the basic economic problem of what to produce in what quantity?

2. How to produce?

The basic economic problem of “How to produce?” means which production technique should be used in producing goods and services?

❑ Two production techniques can be used to produce goods and services.

▶▶labour intensive production technique

Labour intensive production techniques use more of labour and less of capital to produce goods and services

▶▶capital intensive production technique

capital intensive production techniques use more of capital and less of labour to produce goods and services.

■ The basic economic problem of how to produce is also identified as a problem of production

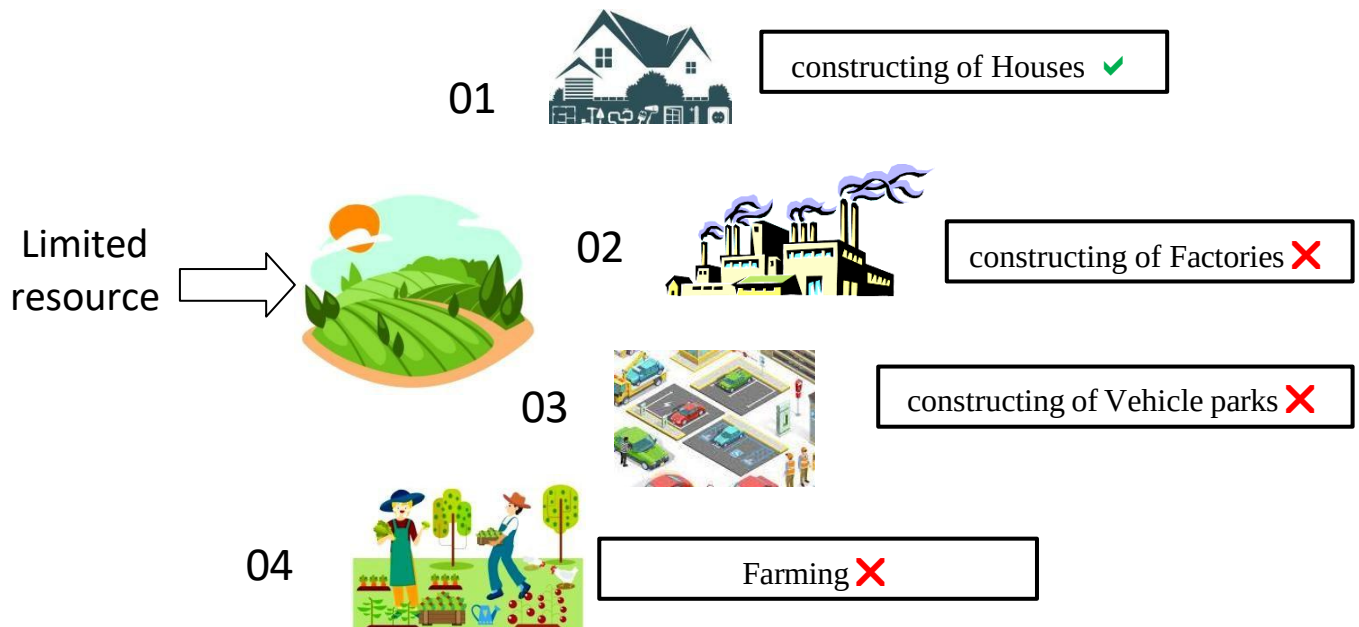
3. For whom to produce?

Which means who own the limited amount of goods and services produced with the use of scarce resources.

■ The whom to produce is also identified as a problem of distribution.

❑ Opportunity cost ❑

When selecting one alternative from all other alternatives available, the value of the next best alternative forgone is called opportunity cost.



■ Important factors relating to the opportunity cost

❶ Opportunity cost is considered as a positive concept

❷ opportunity cost is positive only with economic goods.

❸ The concept of opportunity cost is not a financial concept.

It is a real concept, which means the opportunity cost concept shows the real value of the next best alternative forgone when selecting an alternative. It is not the financial value.

❹ Opportunity cost concept is connected to the individual.

Therefore opportunity cost can be expressed only by the person who made the choice. It differs from person to person.

❑ There are a few situations where opportunity cost can be zero.

1. When there are unlimited resources (Existence of non-economic goods)
2. Absence of alternative uses.
3. When there are unemployed resources

» Economic systems »

An institutional structure made by people to solve basic economic problems caused by scarcity is called an economic system.

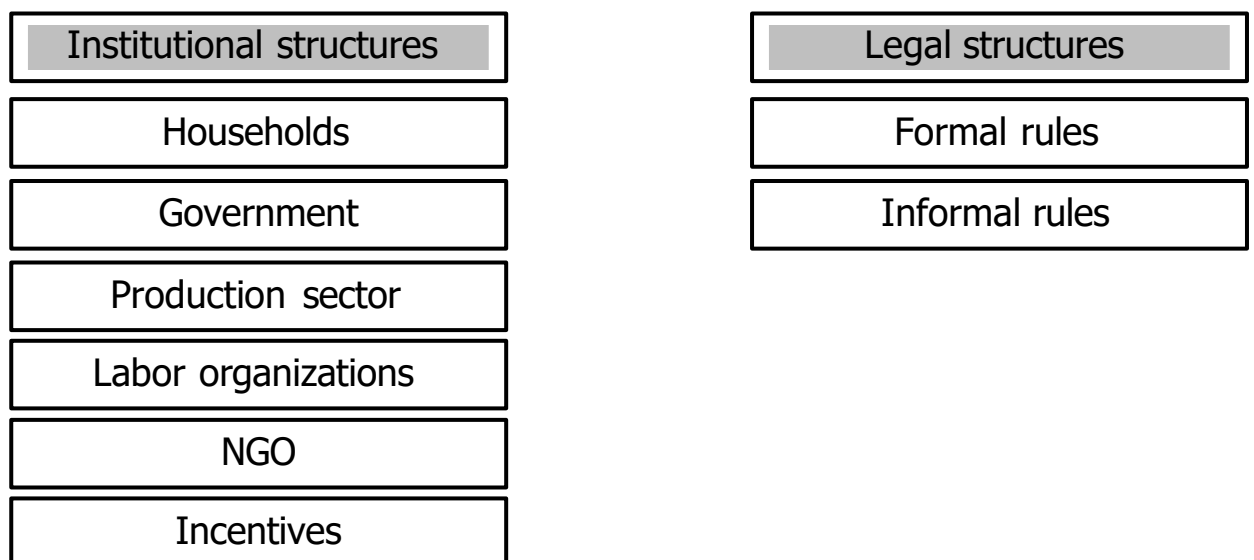
■ Basic function of an Economic system.....! » Solve Basic Economic problems.

01 What to produce

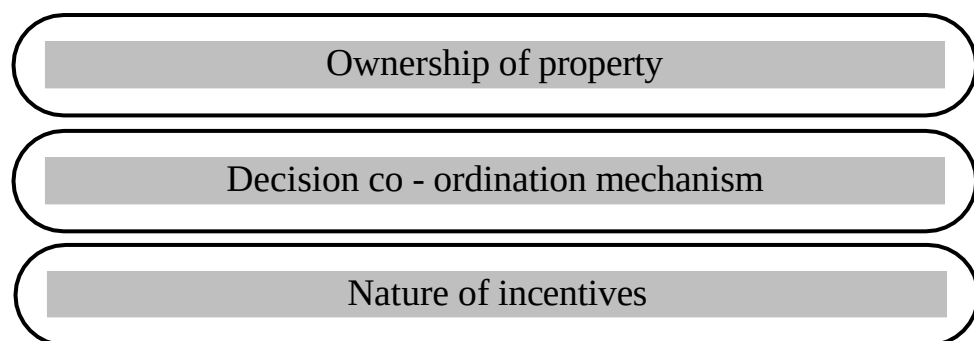
02 How to produce

03 whom to produce

.....Elements of an economic system.....

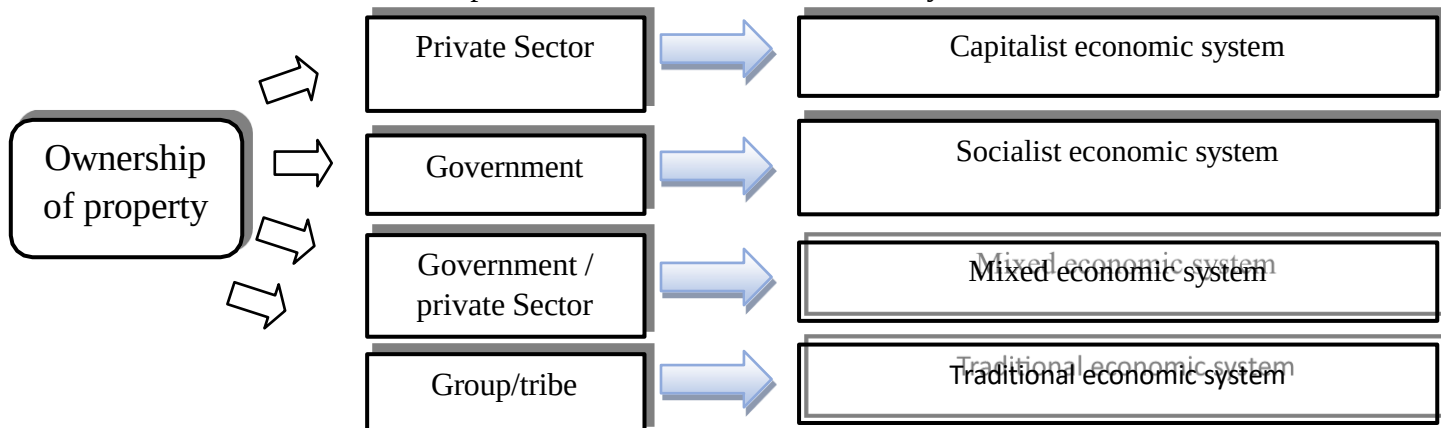


.....Factors that effecting the diversity of an economic system.....



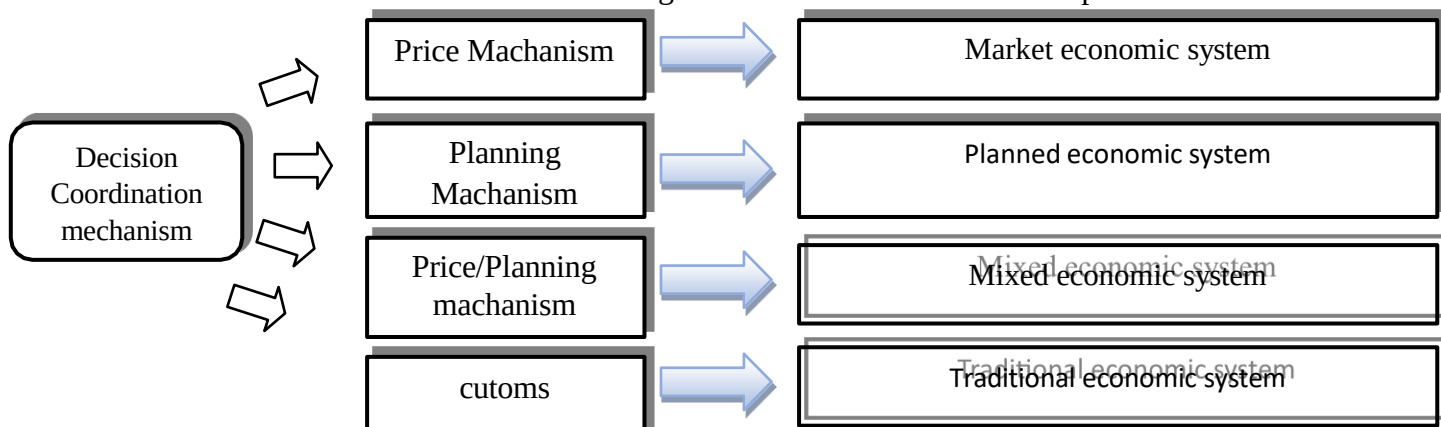
Ownership of property

It considers who owns all the production resources of the economy.



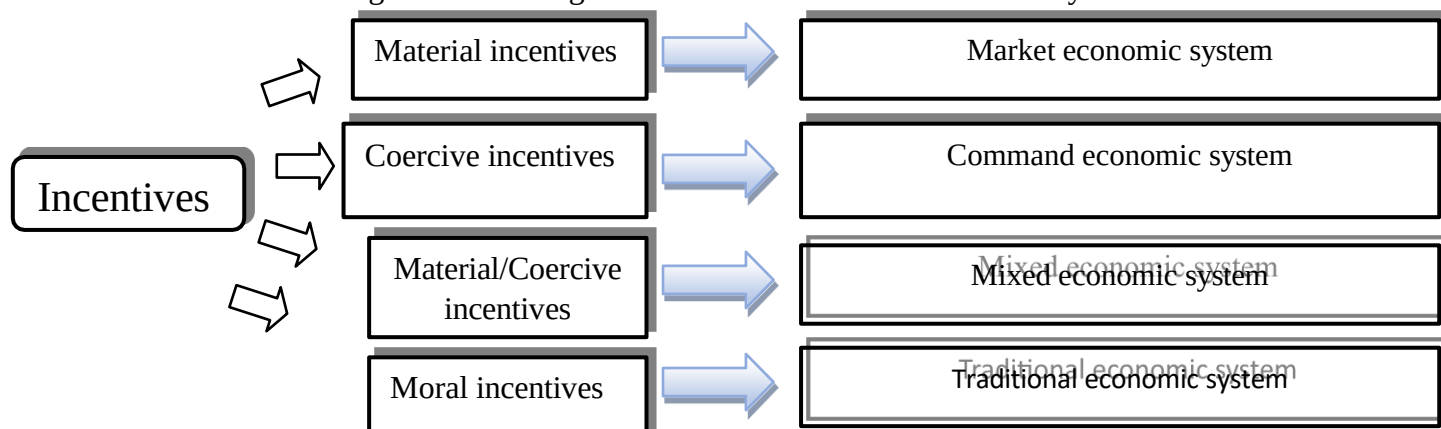
Decision Co-ordination mechanism

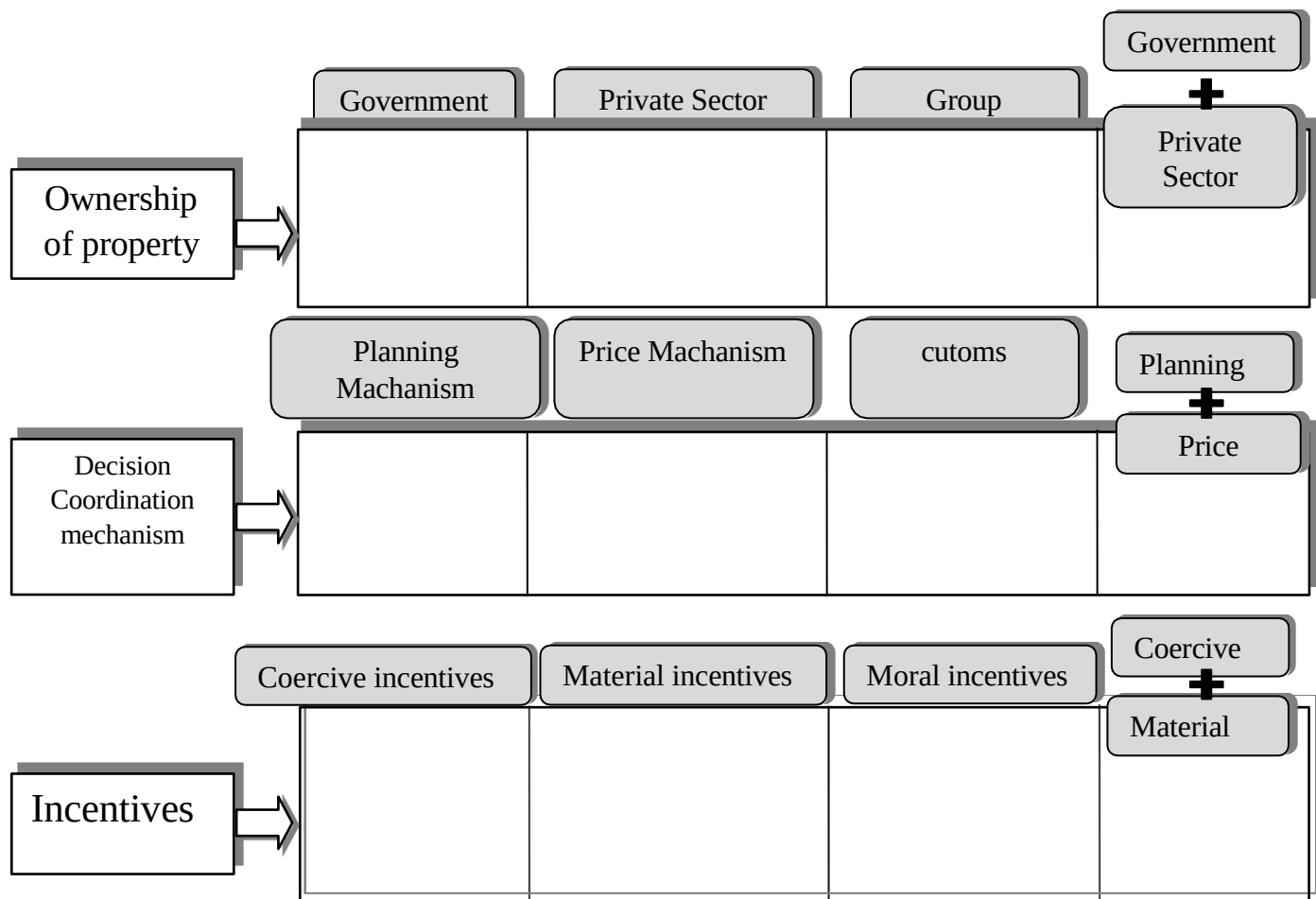
It considers the decision making mechanism on basic economic problems.



Incentives

Factors that encourage and discourage individual's behavior in the economy are called incentives.





Considering all above mentioned criteria which use to classify economic systems, they are classified as follows.

☐ **Market economic system**

☐ **Planned economic system**

☐ **Mixed economic system**

☐ **Traditional Economic System**

❑ Market economic system

Market economic system is the economic system which solve basic economic problems based on the price determined by market demand and supply.

» Market economic system also named as capitalist Market economic system.

❑ Basic characteristics of a market economic system

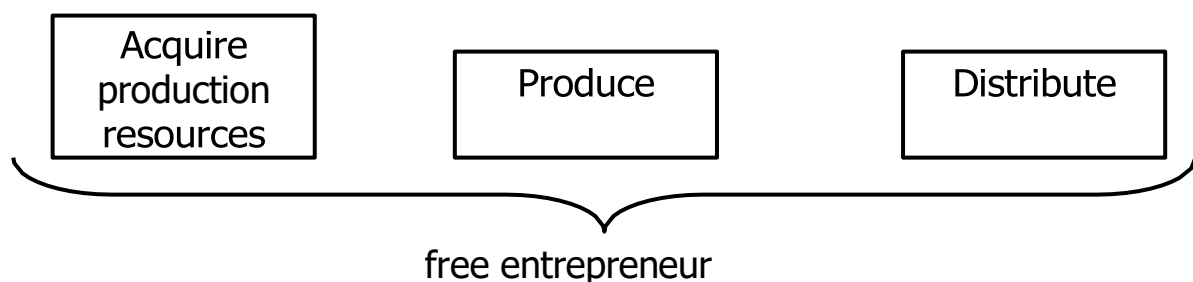
- Private ownership of property

All Production resources are owned by the private sector in the economy.

- Freedom of choice or free entrepreneur(Free enterprise)

What is free entrepreneur?

Free entrepreneur is the freedom to acquire production resources needed for the production process, Produce and Distribute.



What is free Choice?

In a market economy, the decisions of producers based on the choice and the decisions of the consumers are called free choice.

» This means that a producer direct his product by paying attention to customer decisions.

» so the consumer has lot of freedom to make decisions regarding goods and services in a market economic system. This is also known as Consumer sovereignty.

- Competitive market situation

In a market economy the production sector is encouraged to produce goods and services. Free enterprise is also a reason for that.

» Through this there is intense competition in the market for goods and services.

❑ conditions that must exist for market competition.

- Having a large number of producers producing homogeneous products in the market.
- No barriers for producers to enter and exit from the market

• Incentives based on self interest

The economic process of a market economy based on personal gain and personal advantage is called self interest.

Self-interest is the determinant factor of the behavior of economic agents of a market economic system.

• Operation of price mechanism

Price mechanism act as the co-ordination mechanism of solving basic economic problems of a market economy.

» Price performs three important functions within a market economy

❑ Signaling Function

F



❑ Incentive Function



❑ Rationing



• Limited role for the government

A market economy does not do certain things. For that government has to intervene. The primary role of the government is to protect private property.

» The role of government in a market economy

- ❶ Focusing resources on public goods that do not provide a market economy.

City street lighting, law and order

- ❷ Deploying resources for welfare goods that are not adequately supplied by a market system

Education, Health

- ❸ Control negative externalities

Alcohol, drugs

- ❹ Infrastructure development and human resource development.

- ❺ Formulation and regulation of rules

- ❻ Protecting the environment while maintaining sustainable development

☐ **Planned economic system**

The economic system which solve basic economic problems by the commands provided by a central planned authority is known as command economic system.

» Characteristics of a central planned economic system

- ☐ Public ownership of property except labour.

-
- ☐ Use of planned mechanism to solve basic economic problems.

Decisions related to what to produce, how to produce and whom to produce are taken by the central planned authority.

- ☐ Act based on social welfare.

-
- ☐ Act to achieve public well being.
-

❑ Mixed economic system

The economic system where resources are distributed using both price mechanism and planned mechanism is known as a mixed economic system.

►► Characteristics of a Mixed economic system

- Consumer, producer, owners of factors of production and government are the active agents of the economy.
- Self interest is the motivational factor of the private sector and social welfare is the motivational factor of the public sector.
- Both private and public sector own resources.
- Decisions related to resources allocation is done through planned mechanism and competition operates through private sector.

■ Main difference between Market & Planned economic system.

❑ Traditional economic system

1. Traditional economies are often based on one or a few of agriculture, hunting, fishing, and gathering.
2. Barter and trade is often used in place of money.
3. Often, people in a traditional economy live in families or tribes.
4. Societies may follow herds of animals in order to hunt and sustain those in the traditional economy.
5. Many people progress from hunters to farmers where they can place permanent structures and start a society

How Economic systems Solve Basic Economic problems.

	Market Economic System	Planned Economic System	Mixed Economic System
What to	This problem is	What is produced	

produce	solved by factor market and commodity market price signals. Accordingly it decides to produce profitable goods and not to produce loss-making goods.	decided by the decisions of the Central Planning Authority.	
How to produce	This problem is solved by focusing on factor market price signals. Low cost and high efficiency production techniques are decided here.	How to produce is decided by the decisions of the Central Planning Authority.	
Whom to produce	This problem is solved by focusing on Factor income. Accordingly, the product is distributed to high-income earners to earn more profit.	Whom to produce decided by the decisions of the Central Planning Authority.	

- Economic systems which operate basically through socialist ideology and to some extent which operates through market forces are known as **socialist market economies**.

- Market economic system where government intervenes to promote social justice

is known as a **social market economy**.

» » Criteria used to assess the duty of an economic system are as follows.

- Full employment
- Economic efficiency
- Economic growth
- Price stability
- Fair distribution of income
- External stability
- Quality of environment
- Economic freedom

Production Possibility Frontier (PPF)

At a given period of time by utilizing all the resources of an economy fully with maximum efficiency and with , the line drawn on combining the maximum combination of output of two goods is known as Production Possibility Frontier.

■ The following assumptions are used when drawing a production possibility curve.

- Production of only two goods
- Resource stock remains constant
- Technology remains constant during the concerned period
- Fully utilization of resources with maximum efficiency

concepts that can be represented by *Production Possibility Curves(PPC)*

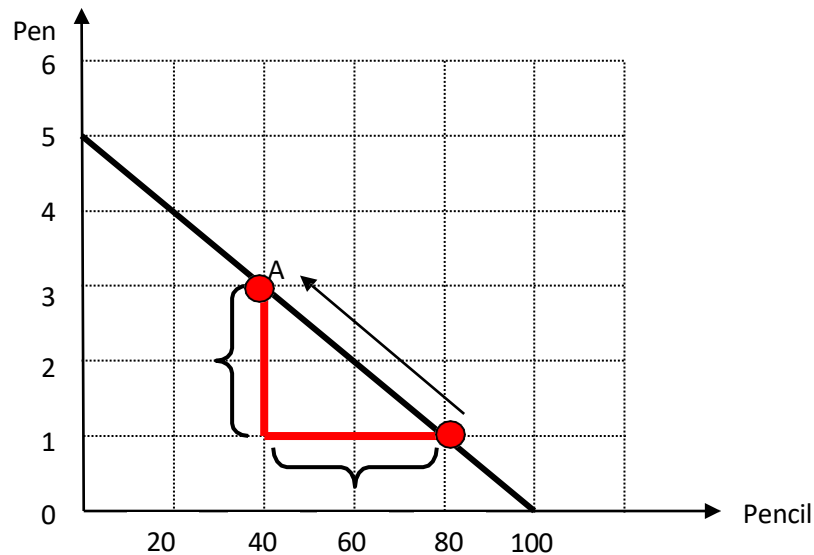
○Microeconomic Concepts	○Macroeconomic concepts
✧ Scarcity	✧ Full employment/ Unemployment
✧ Alternative uses	✧ Economic Recession
✧ Choice	✧ Economic depression
✧ Opportunity cost	✧ Economic Growth
✧ Productive efficiency	✧ Economic decline

Representation of Opportunity Cost by Production possibility Curves

What is Opportunity cost.....?

When selecting one alternative from all other alternatives available, the value of the next best alternative forgone is called opportunity cost.

When Selecting one of the two products to be produced, the other product has to be sacrificed.



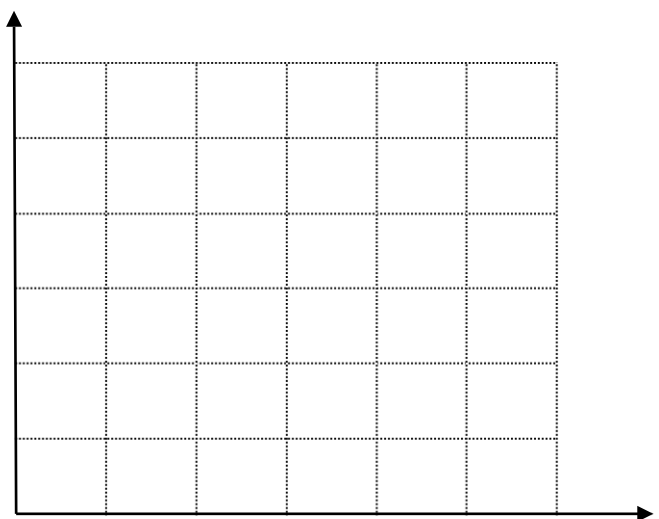
When moving along a production possibility curve the ratio between forgone amount of the other goods when increasing the fixed amount of goods is identified as the slope or the gradient.

- Slope shows the marginal opportunity cost.

$$\text{Opportunity cost} = \frac{\text{Amount of Reduced units}}{\text{Amount of increased units}}$$

The following are the Maximum output combination of the two products. Indicate it in the given chart.

X	Y
0	40
5	30
10	20
15	10
20	0



Opportunity cost }

■ According to the behavior of the marginal opportunity cost of the production possibility curve few forms of opportunity cost exit. . .

- ☐ Constant opportunity cost
- ☐ Increasing opportunity cost
- ☐ Decreasing opportunity cost
- ☐ Zero opportunity cost

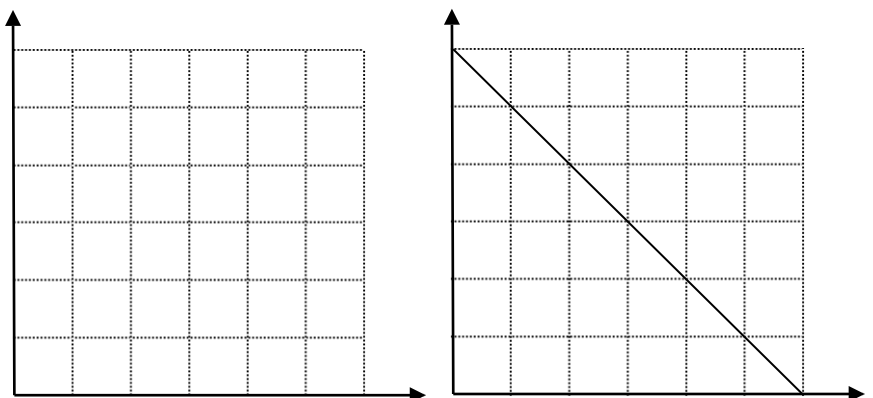
_____ ☐ Constant opportunity cost

When moving along a production possibility curve with increasing the fixed amount of a certain goods the situation of remaining the forgone amount of the other good unchanged is identified as constant opportunity cost.

The shape of the production possibility curve with this type of opportunity cost is linear in its nature



X	Y
0	40
5	30
10	20
	10
20	0



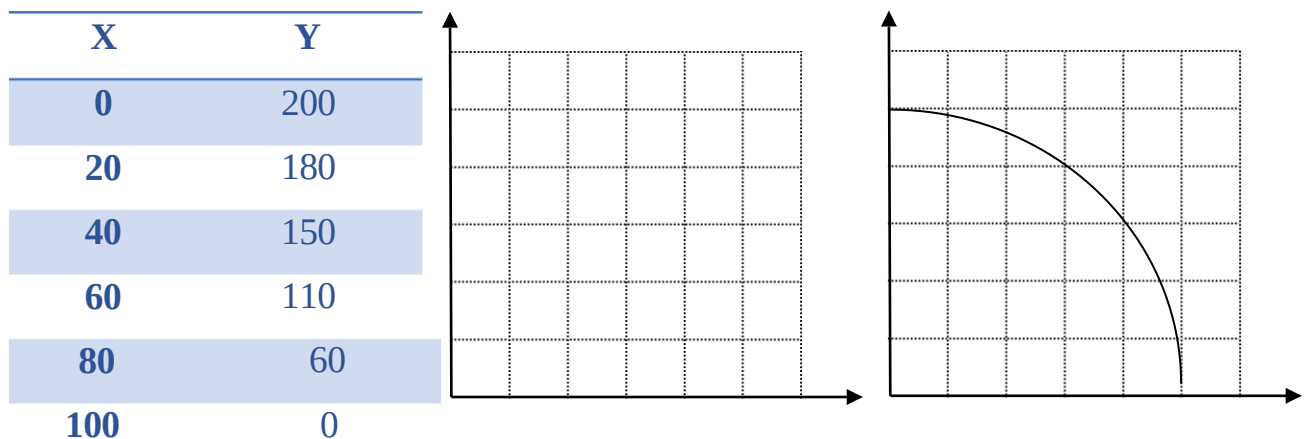
■ Reasons for constant opportunity cost.....

- Homogeneous Resources
- The resources efficient for one industry are the same for the other industry.

Increasing opportunity cost

When moving along the production possibility curve by increasing the fixed amount of a certain goods the situation of increasing the amount of forgone good is identified as increasing opportunity cost.

☆ The shape of the Production Possibility Curve with this type of opportunity cost is concave to the origin.



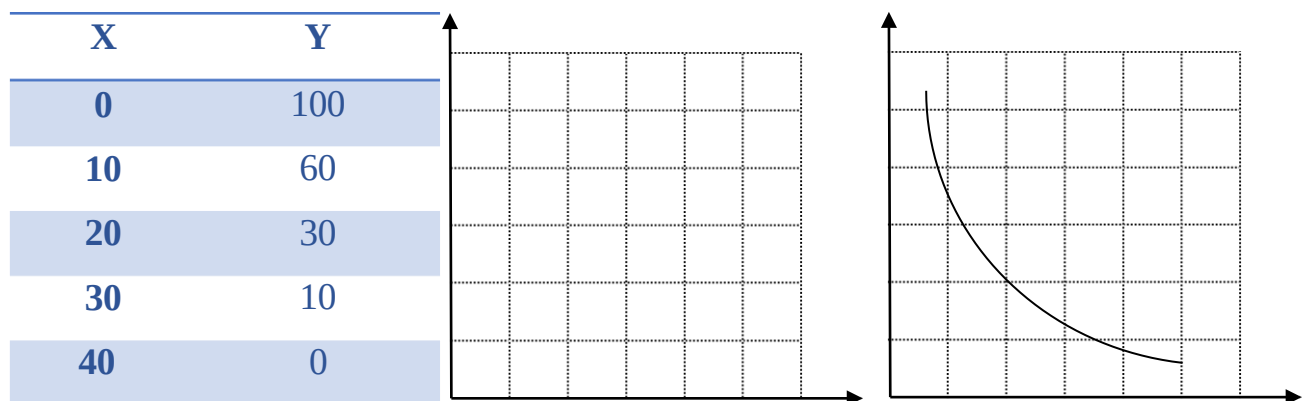
■ Reasons for increasing opportunity cost

- Non-homogeneous Resources
- The resources efficient for one industry are not efficient for the other Industry.

Decreasing opportunity cost

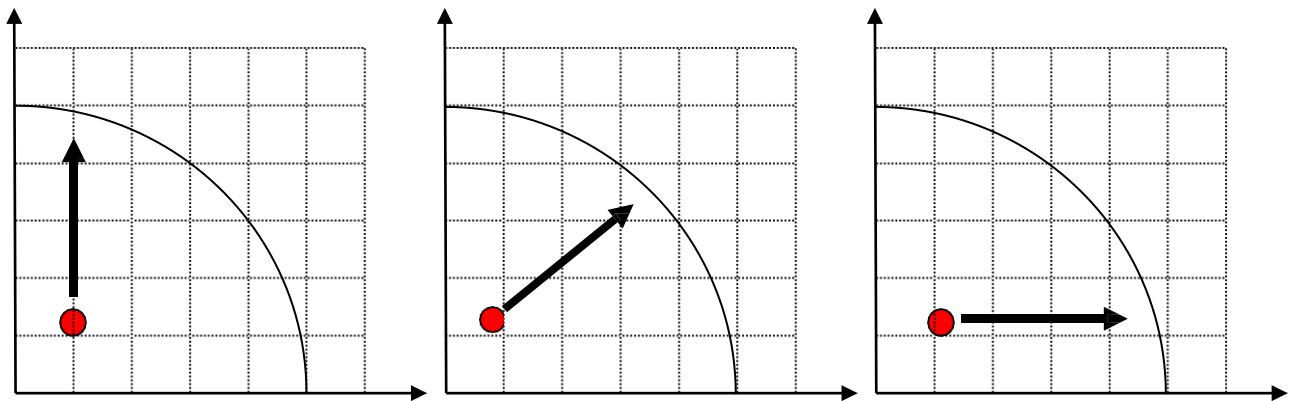
When moving along the production possibility curve by increasing the fixed amount of a certain goods the situation of decreasing the amount of forgone good is identified as decreasing opportunity cost.

☆ The shape of the Production Possibility Curve with this type of opportunity cost is convex to the origin.



Zero opportunity cost

Opportunity cost is zero when a point is moved from a point within the Production possibility curve to a point towards the curve.

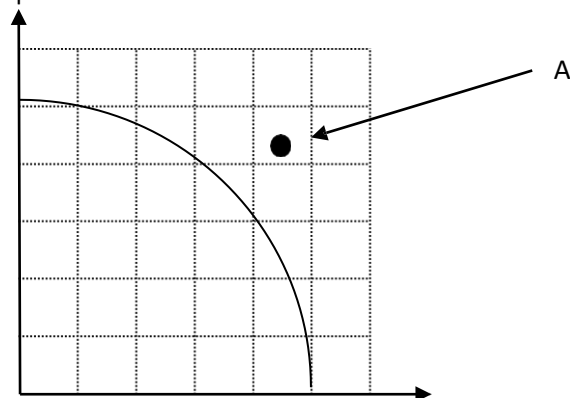


Representation of Scarcity by Production possibility Curves

What is Scarcity.....?

Scarcity is a basic problem of the economy which arises because of availability of limited resources but presence of unlimited wants of human beings.

Scarcity is represented by a point outside the Production Possibility Curve.

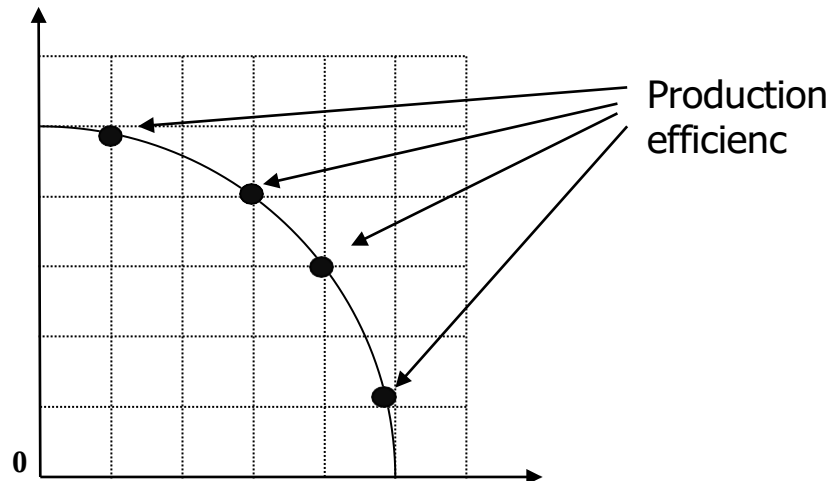


Representation of Production efficiency by Production possibility Curves

What is Production efficiency.....?

Production efficiency means achieving of maximum output from all resources of an economy.

- This can be shown by any point on the Production Possibility Frontier.



- Two main conditions are necessary for the production efficiency.

① Full employment

② Full production.

Representation of Allocative efficiency by Production possibility Curves

What is Allocative efficiency.....?

Allocative efficiency means distribution of limited resources of an economy based on society's preference.

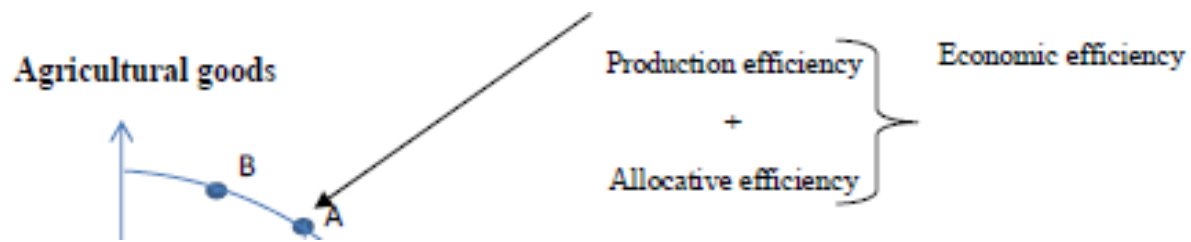
- Condition for Allocative efficiency

Price = Marginal cost ($P=MC$)

or

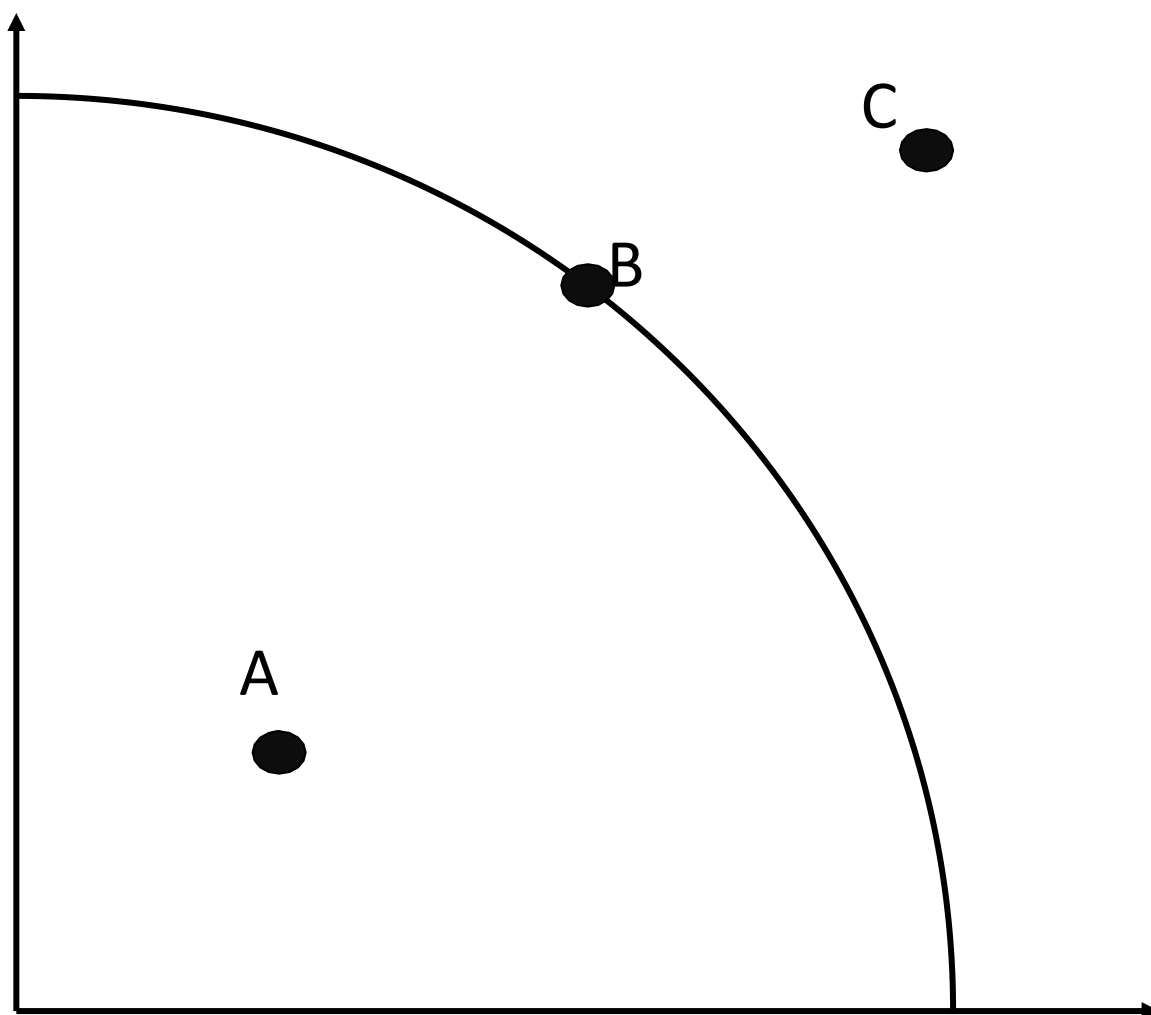
Marginal Cost = Marginal Benefit ($MC=MB$).

- Allocative efficiency can be shown by only one point on the Production Possibility Frontier.



- ✓ The benefit gain by the consumption of an additional unit of a particular goods is known as marginal benefit.
- ✓ It would be the maximum price that the consumer is willing to pay for the good. Therefore marginal benefit will be equal to price.
- ✓ The amount added to the total cost When increasing the output of a particular good by one unit is called marginal cost(MC).

Summary



A- Unemployment, inefficiency

B- Full employment, Production efficiency, full production, Full Utilization

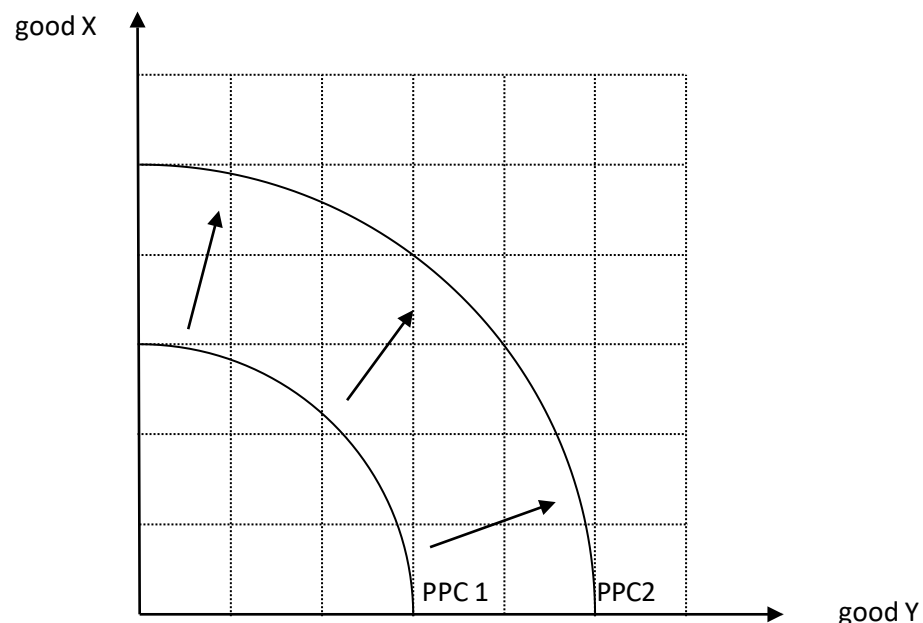
C- Scarcity

Representation of Economic Growth by Production possibility Curves

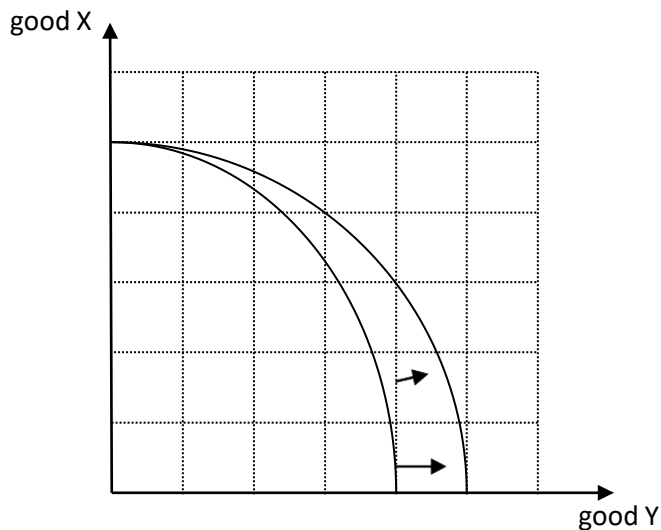
Economic growth is an increase in the production of economic goods and services, compared from one period of time to another.

►► Economic growth means increase of production capacity of the economy.

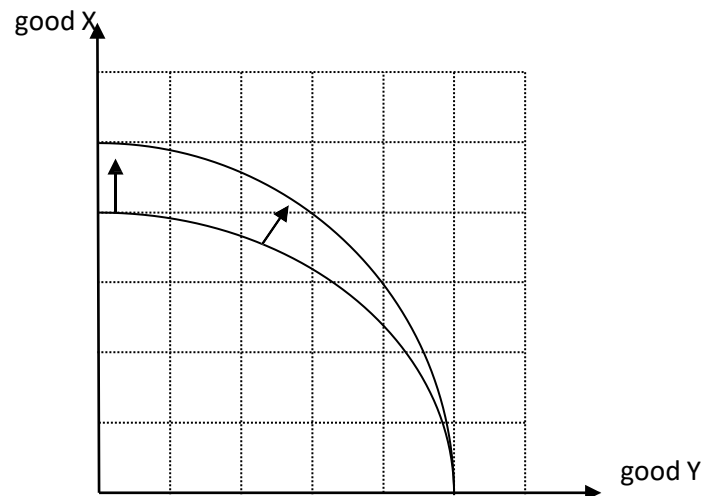
increase of production capacity (Economic growth) can be represented by shifting the production possibility curve to the right.



►► Partial Economic growth



Growth of Y Production

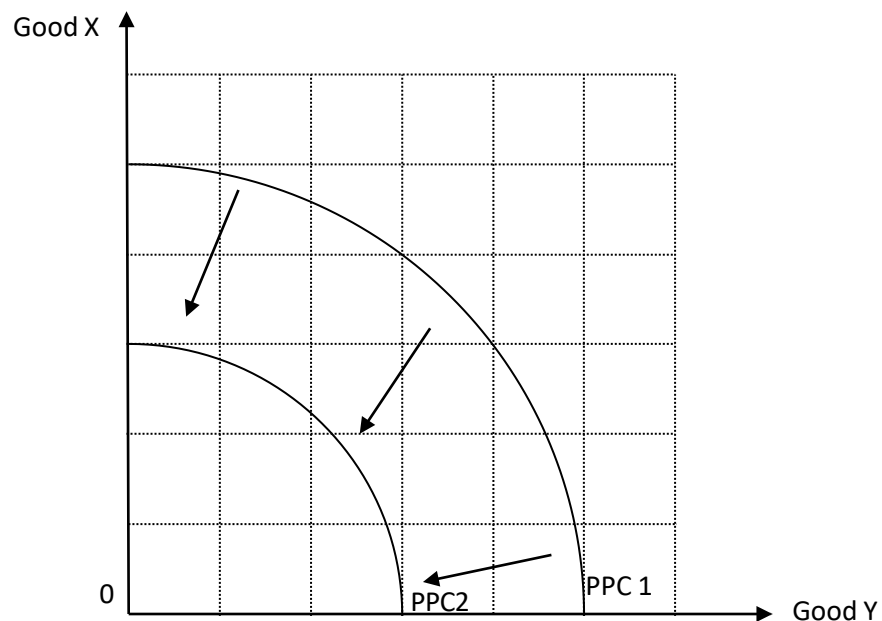


Growth of X production

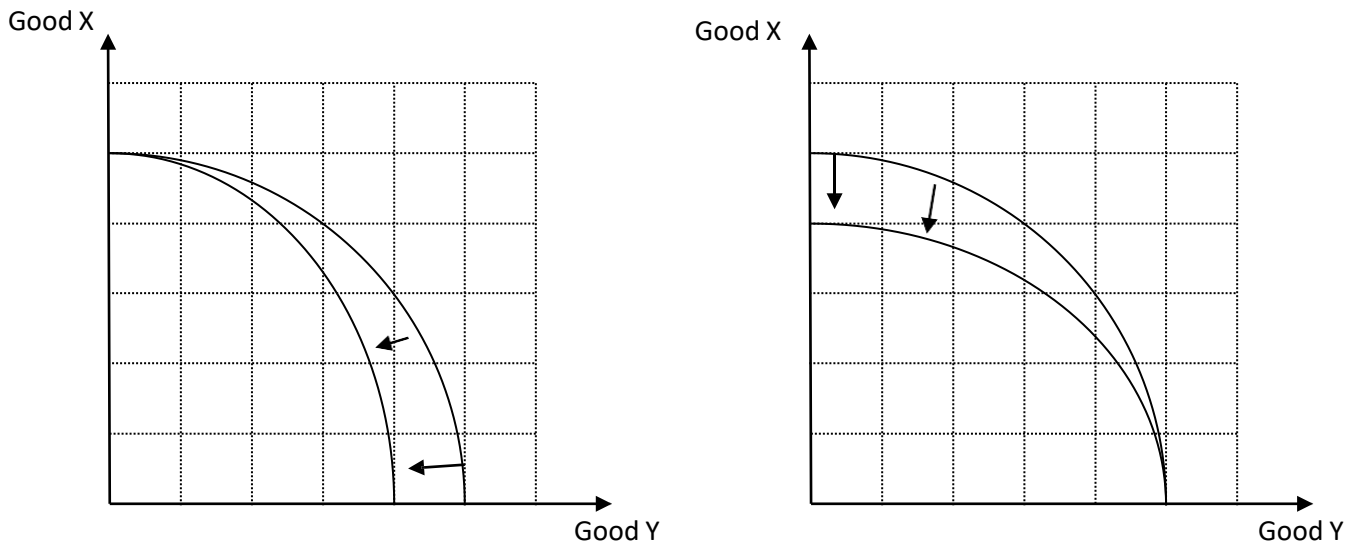
Representation of Economic Depression by Production possibility Curves

►► Economic Depression means decrease of production capacity of the economy.

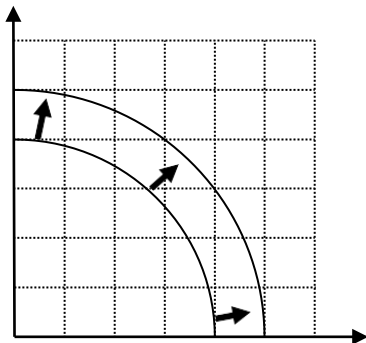
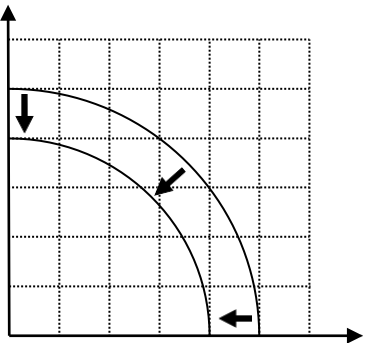
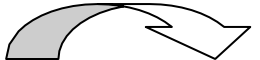
Decrease of production capacity (Economic Depression) can be represented by shifting the production possibility curve to the Left.



►► Partial Economic Depression



The factors affect changing the production capacity of a country

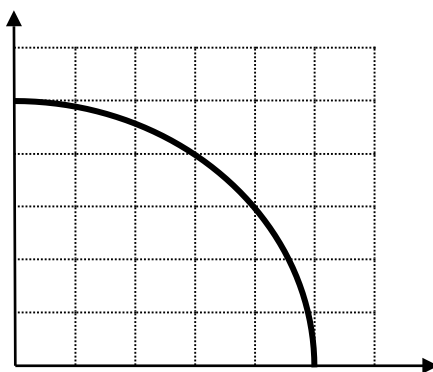
Increase of Production capacity		Decrease of Production capacity	
Production Possibility curve shifts Right		Production Possibility curve shifts left	
			
Economic Growth		Economic Depression	
01- Change in Ressources 			
Increase of Ressources		Decrease of Ressources	
Land	↑	Land	↓
Labour	↑	Labour	↓
Capital	↑	Capital	↓
Entrepreneurship	↑	Entrepreneurship	↓
02- Change in Productivity 			
Investment	↑	Investment	↓
Infrastructure	↑	Infrastructure	↓
Technology	↑	Technology	↓
Management	↑	Management	↓

03- Increase of Innovations	03- Decrease of Innovations
04- Economic Development	04- Natural Disasters/ Civil war

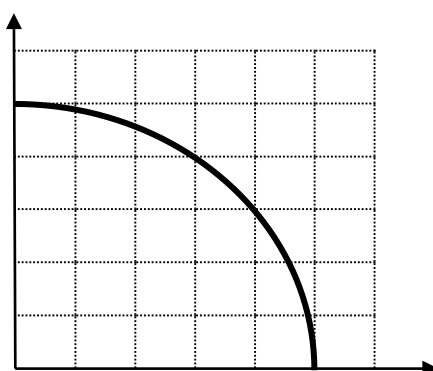
Ex 02

Represent the following incident by production possibility curves. (Vertical axis X Production and Horizontal axis Y production.) Assume PPC has Increasing opportunity cost.

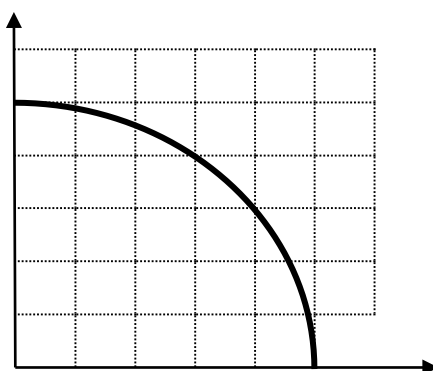
01- Economic growth of the country's Economy



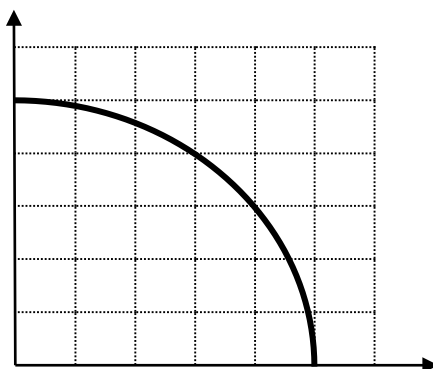
02- Increase of technology using the economy



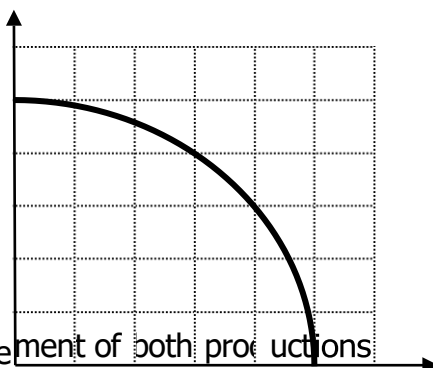
03- Increase of production capacity of X production



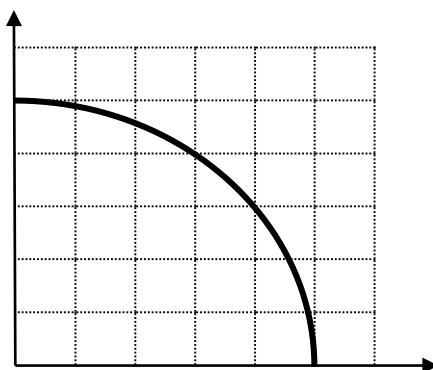
04- Recruitment of new skilled workers for the Y production



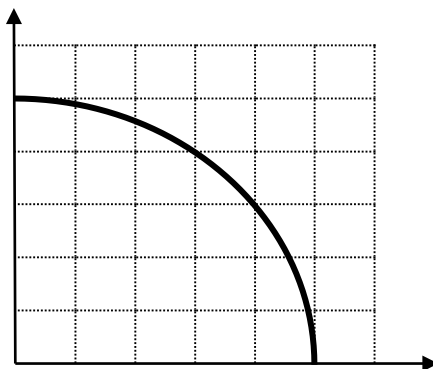
05- Purchase of new land for X production



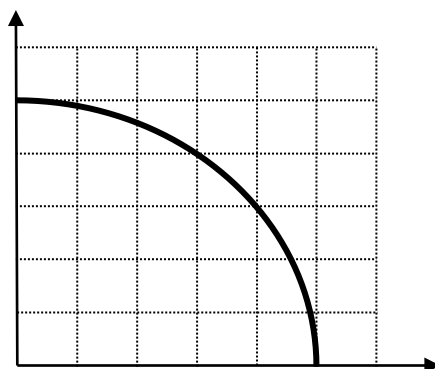
06- Weakness of management of both productions



07- Discovering of new resources of Y production

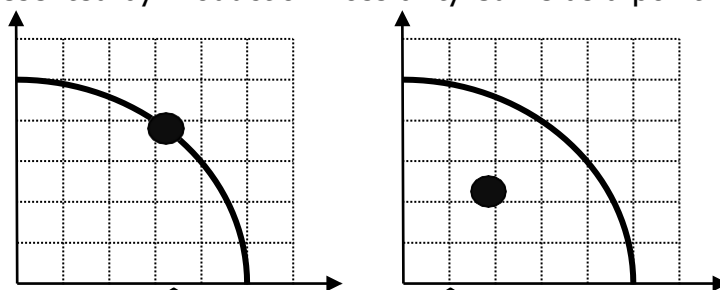


08- Increase in resource stock through new technology in the economy



Representation of Point displacement by Production possibility Curves

Utility can be Represented by Production Possibility Curve as a point.



Full utilization

Full Employment

Full efficiency

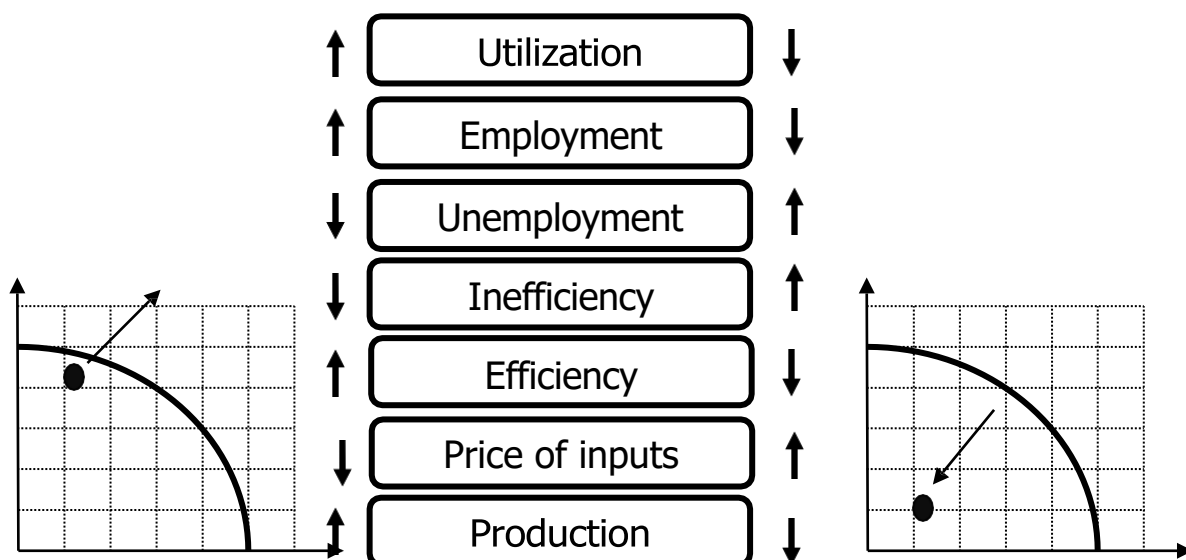
Underutilization

Unemployment

Inefficiency

Increase of utility

Decrease of utility

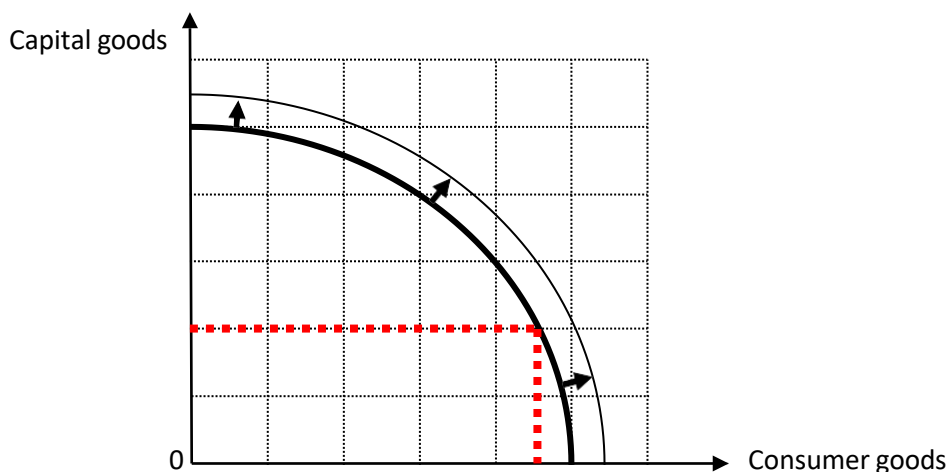


Representation of Rate of growth by Production possibility Curves

An economy's future resource stock is determined by the way of utilizing scarce resources.

■ ■ If more resources are utilized for current consumption, production of capital goods will be decreased in future.

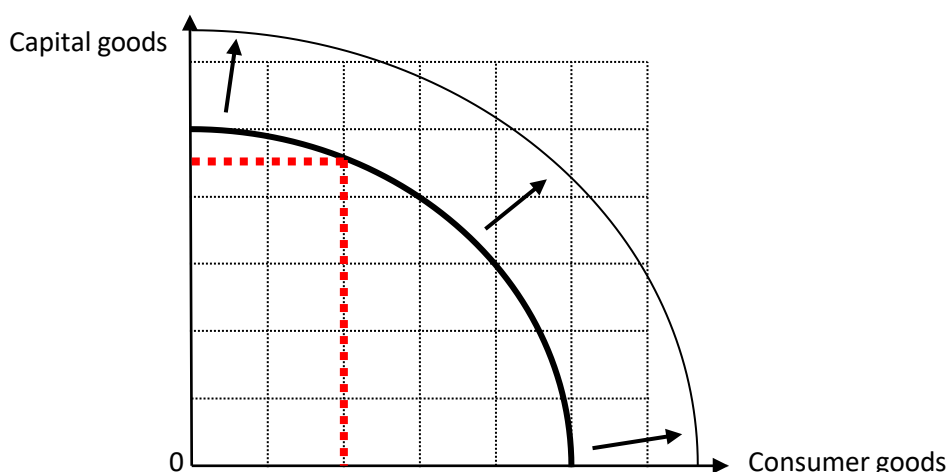
» » » In this way decrease in the production of capital goods will reduce future production possibility and it will be a barrier for economic growth.



According to the graph as the economy allocated more resources towards the consumption economic growth rate was lower.

■ ■ If more resources are utilized for current capital goods, production of consumer goods will be decreased in future.

» » » In this way increase in the production of capital goods will increase future production possibility and it will be a higher rate of economic growth.



According to the graph, as the economy allocated more resource for the production of capital goods than consumer goods, economic growth rate was higher.

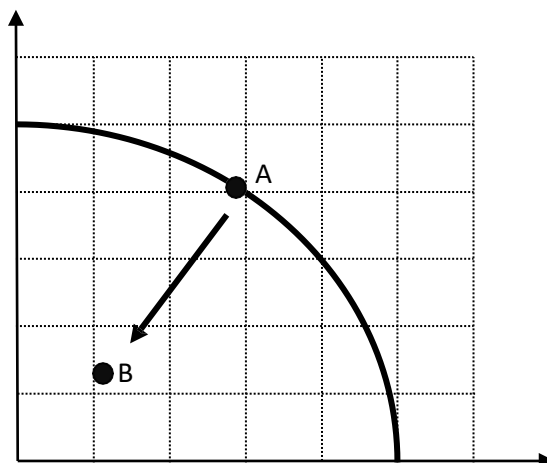
Representation of Economic recession and Economic depression by Production possibility Curves

What is Economic recession.....?

■ Economic recession means decreasing of production due to decrease in demand for goods and services in an economy.

» » » Economic recession is a short term phenomenon and unemployment situation increases with it.

□ According to this graph it can be shown by a movement from A to B.



What is Economic depression.....?

■ Long term (more than One year) situation of an economic recession is known as economic depression.

» » » In this situation as unemployed resources can be destroyed, Production Possibility Curve shift to the left due to decrease in resources stock. In a short term of depression, where the resources do not destroy a point will shift to the left.

